MFANO BANK

A fictional bank for a portfolio project

INTERNAL CIRCULAR

Card replacement

Reference	CIR-CARD-07
Version	2
Status	Live
Effective date	2026-09-01
Owner	Cards and Payments
Approved by	Head of Branch Operations
Classification	Internal

This document is fictional. It does not describe the procedures of any real bank.

Document control

What changed in version 2: The customer must sign the card-blocking form (Form CB-01) before the old card is blocked. Version 1 allowed blocking on the card system without a form. The supervisor now returns any replacement request that does not have the signed form and block reference attached.

Version history

Version	Effective date	Change
1	2025-03-01	First issue
2	2026-09-01	Signed card-blocking form (Form CB-01) required before the old card is blocked

Approval and distribution

Approved by the Head of Branch Operations. Owned by Cards and Payments. Distributed to all branches through the intranet. Printed copies are not controlled; always check the intranet for the current version.

Contents

1. Purpose 4

2. Scope 4

3. Definitions 4

4. Roles and responsibilities 4

5. Procedure 4

5.1 Verify the customer's identity [MANDATORY CONTROL] 4

5.2 Obtain the signed card-blocking form [MANDATORY CONTROL] 5

5.3 Block the old card [MANDATORY CONTROL] 5

5.4 Capture the replacement request and fee 5

5.5 Supervisor authorisation 5

5.6 Card production and dispatch 5

5.7 Hand over the new card [MANDATORY CONTROL] 5

6. Exceptions and escalation 5

7. Records and retention 6

8. Monitoring and quality assurance 6

9. Related documents 6

Appendix A: Form CB-01 card-blocking form 7

Appendix B: Officer checklist 7

Appendix C: Frequently asked questions 7

Q1. The customer only wants to block the card, not replace it. What do I do? 7

Q2. Can the customer sign the blocking form later, after I block the card? 7

Q3. The customer is travelling abroad and has lost the card. What should they do? 7

Q4. Is the fee charged for a card retained by an ATM? 7

1. Purpose

This circular sets out how branch staff replace a customer's debit card when the card is lost, stolen, damaged or retained by an ATM. Its aim is to protect the customer's funds, make sure the old card is blocked on the customer's signed authority, and give every branch one consistent way of handling replacements.

2. Scope

This circular applies to all Mfano Bank branches and to all debit cards issued on current and savings accounts, including classic, gold and business debit cards. It does not cover credit cards or prepaid cards, which have their own circulars. It applies to customer service officers, tellers, supervisors, the card centre and back office quality assurance.

3. Definitions

- **Card-blocking form (Form CB-01):** the form on which the customer reports the card as lost, stolen, damaged or retained and authorises the bank to block it.
- **Block reference:** the reference number the card system issues when a card is blocked.
- **Card system:** the bank system used to block cards and capture replacement requests.
- **Replacement request:** the request captured on the card system for a new card to be produced.
- **Card collection register:** the branch register in which customers sign when they collect a card.
- **Retained card:** a card captured by an ATM.
- **Damaged card:** a card that is physically damaged or whose chip or magnetic stripe no longer works.

4. Roles and responsibilities

- **Customer service officer:** verifies the customer, obtains the signed Form CB-01, blocks the old card, captures the replacement request and hands over the new card.
- **Supervisor:** checks that the signed form and block reference are attached, then authorises or returns the request.
- **Card centre:** produces the new card and PIN and dispatches them to the branch.
- **Back office quality assurance (QA):** reviews replacement files and raises exceptions where a control step is missing.
- **Branch manager:** approves exceptions under section 6 and ensures staff follow this circular.

5. Procedure

5.1 Verify the customer's identity [MANDATORY CONTROL]

Ask for an original identity document: national ID card, passport or driving licence. Compare the photograph and the signature with the account records before any other step. Copies, photographs of documents and expired documents are not accepted. If someone other than the account holder reports the loss, do not capture a replacement; ask them to call the contact centre so the card can be blocked by phone, and ask the account holder to visit the branch.

5.2 Obtain the signed card-blocking form [MANDATORY CONTROL]

Before blocking the card, the customer completes and signs the card-blocking form (Form CB-01). The officer countersigns it. Do not block the card or capture a replacement request without a signed Form CB-01. This applies to lost, stolen, damaged and retained cards. The customer states on the form the date and place the card was last used, so that any later disputed transactions can be investigated.

5.3 Block the old card [MANDATORY CONTROL]

After Form CB-01 is signed, block the old card on the card system using the correct reason code: L1 for lost, S1 for stolen, D1 for damaged and R1 for retained. Write the block reference on Form CB-01 and attach the form to the replacement request. Tell the customer the card is blocked and that any transaction after the block time will be declined.

5.4 Capture the replacement request and fee

Capture the replacement request on the card system, choosing the branch where the customer will collect the new card. Charge the replacement fee of TZS 10,000. Waive the fee for damaged cards less than 12 months old, and for retained cards where the card centre confirms an ATM fault.

5.5 Supervisor authorisation

The supervisor checks that the signed Form CB-01 with the block reference is attached, then authorises the replacement request. Requests without the form are returned to the officer. The supervisor must not authorise a request they captured themselves.

5.6 Card production and dispatch

The card centre produces the new card within five working days and sends the card and the PIN mailer to the branch in separate packages. The branch records receipt of both in the card stock register under dual control, and keeps them in separate locked drawers until collection.

5.7 Hand over the new card [MANDATORY CONTROL]

When the new card arrives, check the customer's original identity document again and ask the customer to sign the card collection register before handing over the card and PIN mailer. Advise the customer to change the PIN at an ATM. Cards not collected within 60 days are destroyed under dual control and the destruction is recorded in the card stock register.

6. Exceptions and escalation

- **Customer cannot visit the branch:** an authorised representative holding a valid power of attorney may sign Form CB-01 and collect the card, with the branch manager's written approval.
- **Transactions after the loss:** if the customer reports transactions they did not make, raise a card dispute the same day and inform Fraud Risk. Do not promise a refund.
- **Card system unavailable:** obtain the signed Form CB-01, block the card through the contact centre hotline, and record the call reference on the form. Capture the replacement request when the system is available.

7. Records and retention

Form CB-01 and replacement requests: 7 years. Card collection register: 7 years. Records are kept in the branch file room or the document management system and destroyed only under the bank's records retention schedule. Records that are part of an open complaint, dispute, audit or investigation are kept until it is closed.

8. Monitoring and quality assurance

Back office quality assurance reviews a sample of files every month against this circular and reports exceptions to the branch manager and to Cards and Payments. Repeated exceptions at a branch are reported to the Head of Branch Operations. Internal audit may review compliance with this circular at any time.

9. Related documents

- CIR-CARD-05 New card issuance
- CIR-ACC-15 Customer information update
- HR-POL-01 Staff code of conduct

Appendix A: Form CB-01 card-blocking form

- Customer name and account number
- Card number (last four digits) and card type
- Reason: lost, stolen, damaged or retained
- Date, time and place the card was last used
- Customer declaration and signature
- Officer name, signature and date
- Block reference and reason code (completed by the officer)

Appendix B: Officer checklist

[ ] Original identity document checked against account records

[ ] Form CB-01 completed and signed by the customer

[ ] Form CB-01 countersigned by the officer

[ ] Card blocked with the correct reason code

[ ] Block reference written on Form CB-01

[ ] Replacement request captured and fee charged or waived

[ ] Form attached and sent for supervisor authorisation

Appendix C: Frequently asked questions

Q1. The customer only wants to block the card, not replace it. What do I do?

Follow sections 5.1 to 5.3: verify the customer, obtain the signed Form CB-01 and block the card. A replacement request is optional.

Q2. Can the customer sign the blocking form later, after I block the card?

No. From version 2 the signed Form CB-01 must come first. If the customer cannot sign, follow the exceptions in section 6.

Q3. The customer is travelling abroad and has lost the card. What should they do?

They should call the contact centre to block the card by phone. A replacement is captured when they visit a branch with their original identity document.

Q4. Is the fee charged for a card retained by an ATM?

The fee is waived only if the card centre confirms an ATM fault. Otherwise the standard fee of TZS 10,000 applies.